IT Target State Transformation Management

Air Traffic Control (ATC)

Concept and Implementation

Discussion with WMA IT Leadership - 8 October 2010

Draft - 2010-11-08

ATC Mission – Overview

The overriding objective of the Air Traffic Controller (ATC) function is to ensure the successful execution of the overall WMA IT Strategy. ATC serves as a cross-organizational coordination point and an information management hub for the WMA IT Management team in governance of the strategy execution.

Coordination Point

- Cross-domain dependency identification and coordination
- Risk/ issue resolution, and escalations to the WMA IT Management
- Collaboration with the GTEC and WMA governance bodies in support of or on behalf of the WMA IT Management team
- Support for internal and external communication
- Input into common program/project management methodologies, standards, KPIs, and meta data
- Owner of the WMA IT Transformation dashboard/balance score card, the 12-month rolling roadmap, and the consolidated financial model

Information Hub

- Transformation Program progress updates on key milestones, dependencies, financials, risk and issues
- Consolidated financial assessment
- Critical path analysis
- Cross platform risk and issue assessment
- Ad-hoc requests from BUs or GCIO, e.g., “what if” analysis
- Authoritative source of key planning assumptions and management data

Problem Statement

Why do we need ATC?

- We have limited resources and time-frame to achieve extraordinary management objectives with simultaneously moving parts in a complex system
- Cross-organizational dependency management is already a challenge, and it will get worse every day with increased number of dependencies and their down-stream ripple effects
- Program Managers are effective in managing program parameters within their project; however, they need a go-to place to get help on managing dependencies across and outside of WMA.
- Decisions that are optimized for a specific project/initiative may not always align with the broader WMA goals

Concerns/ Questions?

- What are the clear boundaries between ATC and existing functions such as existing PMOs, Program/Project Managers, WMA Transformation PM?
- How do we ensure that the ATC concept is a temporary solution in an extraordinary time to execute a monumental transformation initiative? What is the long term plan to incorporate ATC function into existing WMA IT management functional entities?
- How do we ensure that ATC doesn't add another layer of bureaucracy to Program Management in WMA?
- How does ATC fit into the existing governance structure of WMA, e.g., investment board?

Draft - 2010-11-08

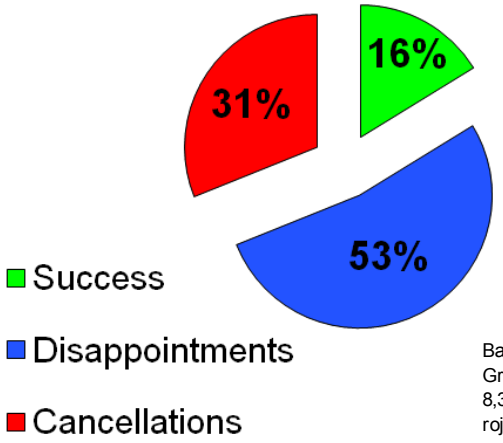
Critical Success Factors

Perhaps the most compelling driving force is bottom line results. Studies have shown that when benefits are NOT realized, programs fail.

Best Practice	Common Mistakes
• Driven by a strategy, vision with focus on benefits to be realized • Integrated planning & management • Active planning & management at program level (active management) • Deliverable oriented • Program director and managers organized under a program management umbrella • Small, well defined projects • Clearly defined performance measures based on objective measures	• Driven form the bottom up (accumulation of the direction of individual projects) • Accumulation of individual project plans • Project data accumulation & aggregation, score-keeping (un-focused management) • Process oriented • Multiple layers of Project Management • Undefined projects, 1st step is to define itself, define as they go, life of their own • Various performance measures based on subjective measures

TOP TEN REASONS FOR FAILURE

- Lack of User Input
- Incomplete Requirements and Specifications
- Changing Requirements and Specifications
- Lack of Executive Support
- Technological Incompetence
- Lack of Resources
- Unrealistic Expectations
- Unclear Objectives
- Unrealistic Time Frames
- New Technology



Based on studies by the Standish Group International consisting of 8,380 development programs/projects at 365 U.S. companies

Draft - 2010-11-08

ATC Mission – Design Principles

Following design principles are determined as necessary for an effective and comprehensive transformation management function for WMA IT.

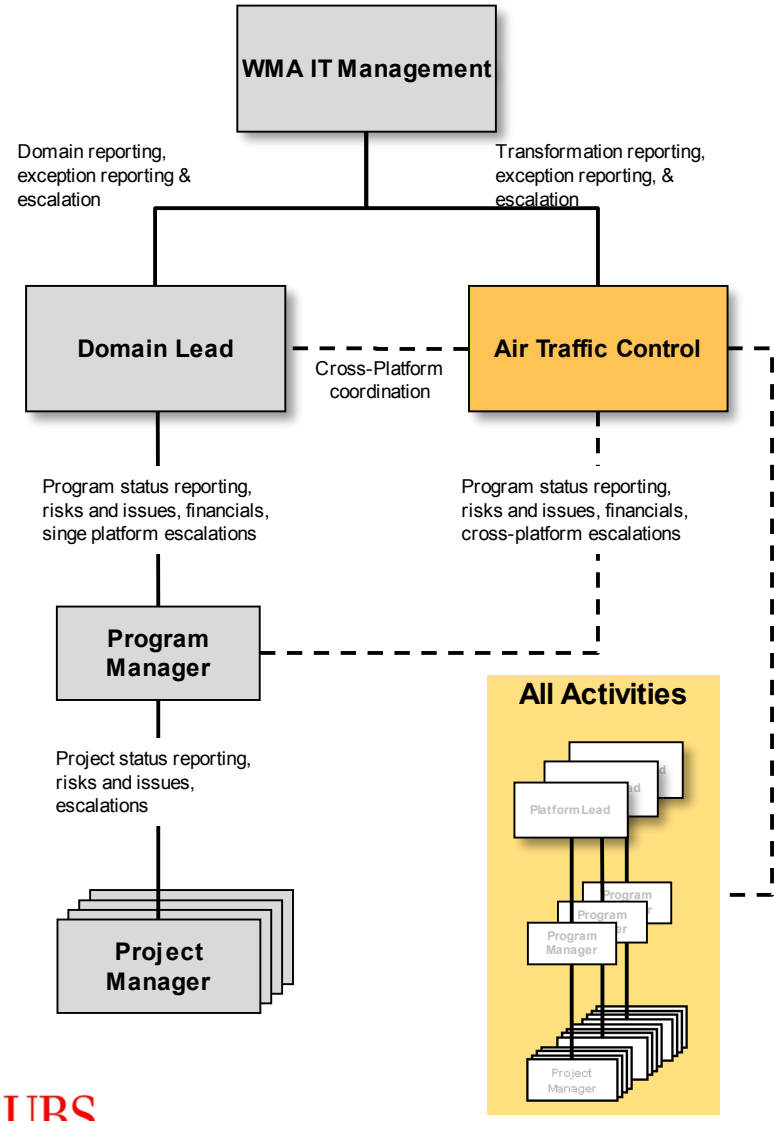
1. Provide light-touch management oversight with minimal overhead and limited involvement in execution of individual programs within platforms
2. Provide a disciplined and enforced decision framework to cross-platform dependency management
3. Provide informed judgment to WMA IT leadership on effective status and risks for the overall transformation (Executive Advisory Role)
4. Coordinate stakeholder communication for consistency and timeliness
5. Ensure that GTEC execution board and similar WMA boards are actively engaged in the transformation management, and program activities are in alignment with the board's guidance and directives
6. Enable WMA IT Management Team to hold initiative owners responsible for "what" they deliver, not "how"
7. Influence common standards and structures necessary for an orchestrated execution of programs
   - Project Plans
   - Progress reports
   - Financial benefits realization
   - Budgets
   - Time reports
   - Financial reports
8. Focus on exceptions management; recommend corrective actions, as necessary

Draft - 2010-11-08

Working Copy

ATC Structure – Organizational Construct & Interactions

A tiered organizational construct consisting of an Air Traffic Controller, Program Managers and Project Managers is recommended to be effective without introducing bureacracy.



Air Traffic Controller
Focus – Business outcomes, program dependencies (internal and external), exception reporting, risk and compliance **Pressures** – GTEC/WMA Strategy alignment, dependency trade-offs, critical path, benefits realization, **Methods** – Dependency management, critical path and exceptions management, aggregated risk & issue monitoring; communication plans and program reporting

Program Manager (Per Platform)
Focus – Business outcomes, continuous project integration and improvements **Pressures** – Program stakeholders, overall schedule, critical path, balance the vision with operational pragmatics **Methods** – Integration techniques, release management, aggregated risk & issue management, governance, prioritization of projects and outcomes, communication plans, best practice project methodologies

Project Manager (Per Initiative)
Focus – Deliverables **Pressures** – scope, project timelines, project resources, quality attributes, risk management **Methods** – project methodology specific to content of project

UBS

Draft - 2010-11-08

ATC Function – Roles & Responsibilities

ATC involvement in key program management processes will vary by program/initiative lifecycle. For each process, the two primary engagement points are: during initiation/planning then on an ongoing basis throughout the remainder of the lifecycle.

Process Name	Startup	Ongoing
Financial Management	• Own consolidated financial model • Confirm program baseline • Confirm development and approval of program and initiative business cases	• Create regular financial summary reports for WMA IT Management • Tracks and reports benefits realization as documented in the financial plan
Governance & Stakeholders	• Confirm program and initiative sponsorship and business owners as part of the business case process	• Participate in Program Steering Committee meetings • Communicate exception requests to the WMA IT Management Team
Roadmap Scope & Schedule Management	• Document program and initiative milestones as part of ongoing maintenance of WMA IT Transition Roadmap • Create and confirm transformation-wide critical path, crossing all programs and initiatives	• Maintain and manage WMA IT Transformation Roadmap • Track transformation-wide critical path; reporting on status to WMA IT Management
Project Planning & Standards	• Provide input to development of program and project management standards, processes and tools	• Review program and initiative workplans, identify and monitor dependencies, escalate risks and issues to WMA IT Management Team
Communications & Reporting	• Create internal and external communications plans for transformation-wide reporting • Define WMA IT Transformation dashboard	• Manage and maintain communications plan • Assist Performance Engineering to publish WMA IT Transformation dashboard/ balance score card based on formalized KPIs • Prepare and disseminate communications and reporting documents

Draft - 2010-11-08

ATC Function – Roles & Responsibilities

Process Name	Startup	Ongoing
Release & Integration Management	• Confirm releases that impact the transformation-wide critical path	• Coordinate activity threads involved in cross-platform dependencies • Assist with the interactions and communications across programs and initiatives • Manage the transformation-wide critical path
Issue Management	• Assess and confirm that an issues management methodology exists for the WMA IT Transformation	• Summarize/aggregate critical path impacting issues for WMA IT Management attention/governance forums • Monitor resolution of issues
Risk Management	• Assess and confirm that a risk management methodology exists for the WMA IT Transformation	• Manage risk list for those risks with a potential impact to the transformation-wide critical path • Monitor the risk contingencies and mitigations
Business Case Management	• Confirm that business cases have been created and approved for each transformation initiative	• Monitor and report adherence to the business case • Track and report benefits realization as documented in the business case • Ensure updates are documented in the business case as necessary
Quality Management	• Create audit/review process for all transformation initiatives	• Manage audits/reviews when required
HR/Resource Management	• Document initiative resourcing needs	• Monitor WMA IT-wide resourcing need s and potential conflicts / impacts to critical path

IT Target State Transformation Management

Air Traffic Control (ATC)

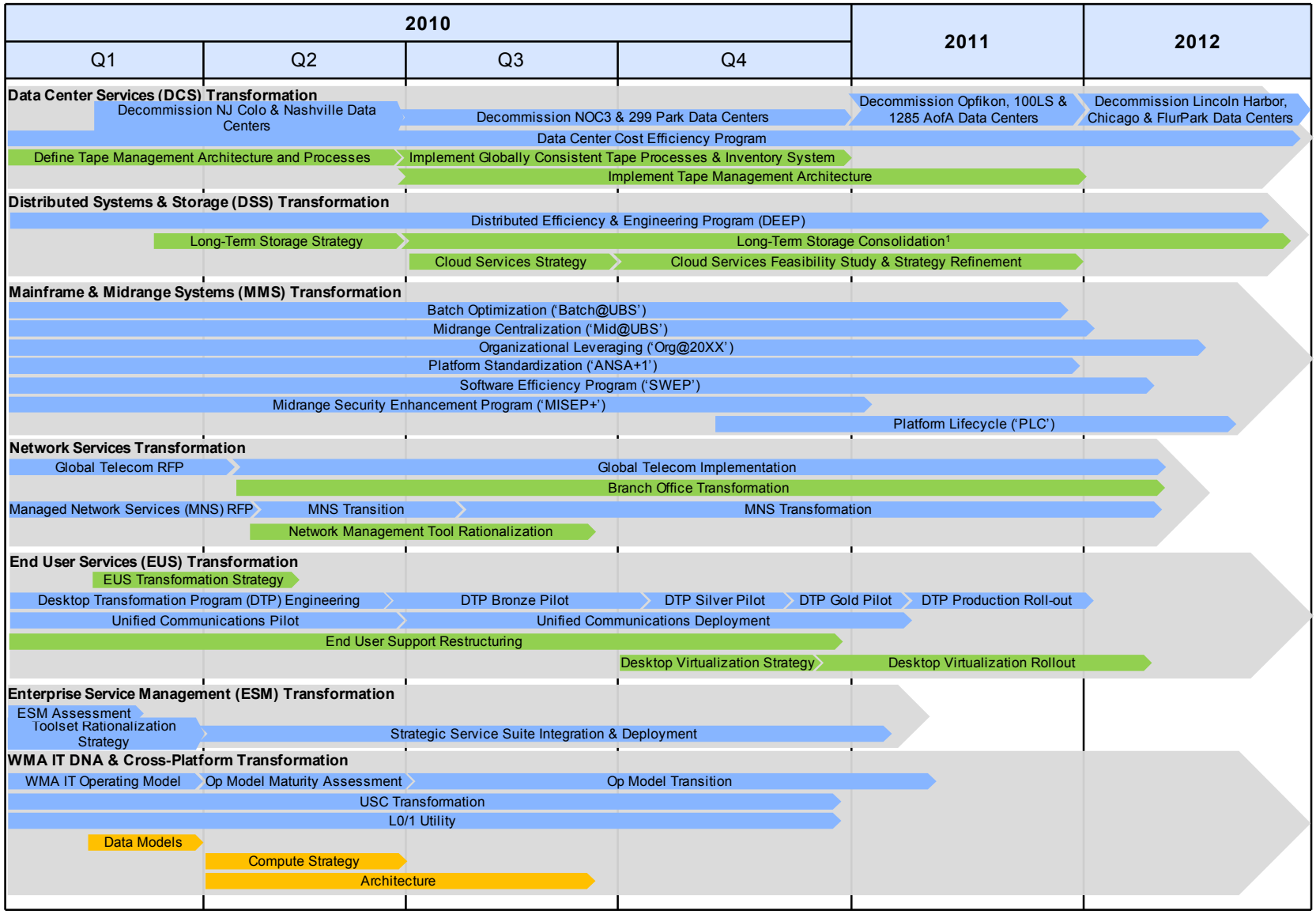
Sample Deliverables to Develop

Discussion with WMA IT Leadership - 8 October 2010

Draft - 2010-11-08

Working Copy

Transformation Roadmap – Timeline (1 of 2)



Executed/Planned Platform Initiative | Initiatives Identified as part of 3yr Strategy | Additional Initiatives for Discussion

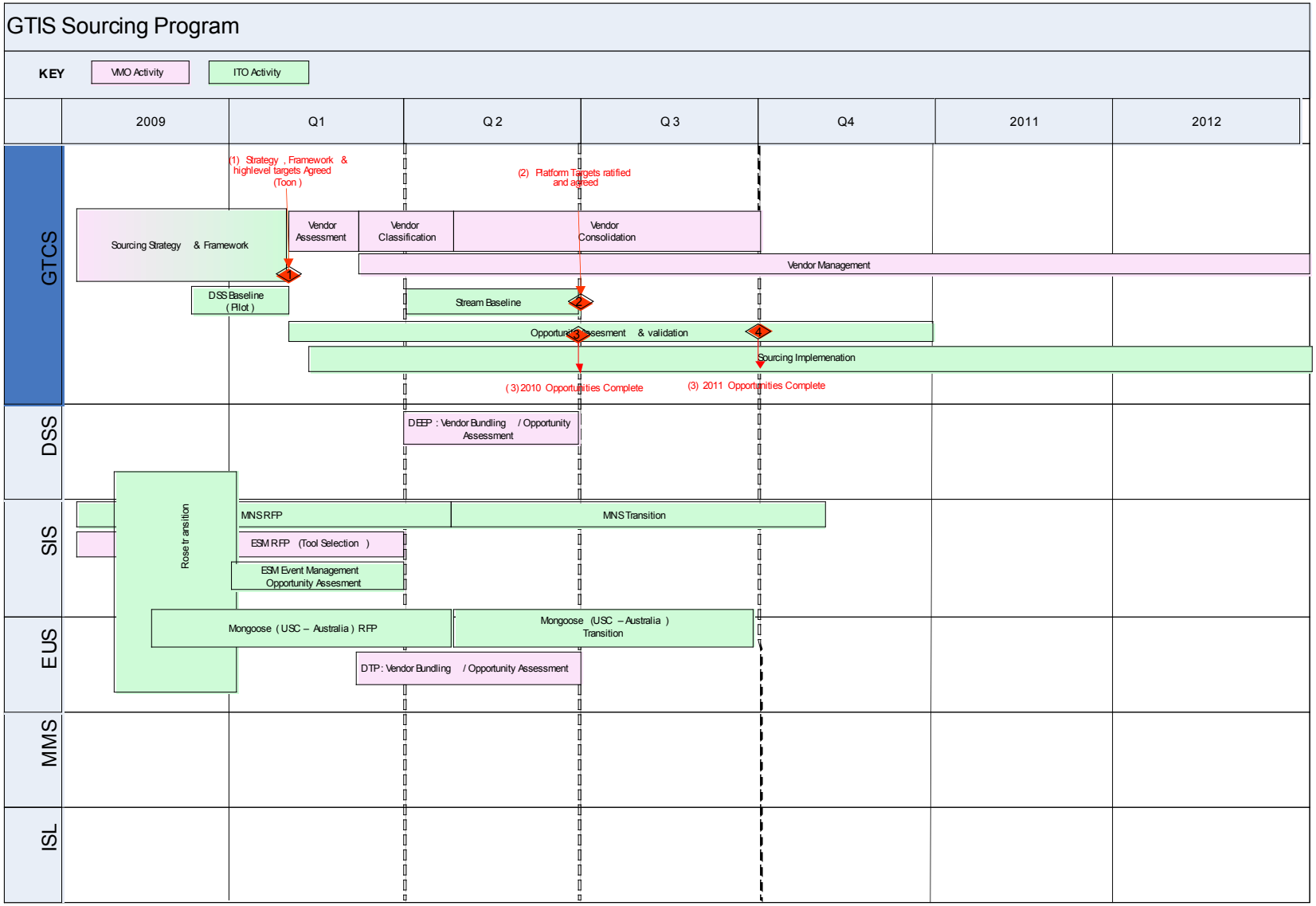
[1]The "Long-term Storage Consolidation" initiative was a part of the DCS Transformation Program in the WMA IT 3 Year Strategy

UBS

Draft - 2010-11-08

Working Copy

Transformation Roadmap – Timeline (2 of 2)



Draft - 2010-11-08

Working Copy

Transformation Roadmap – Program Milestones

Program	2010				2011	2012
	Q1	Q2	Q3	Q4		
Data Center Services Transformation	• DC Consolidation: 6 DCs exited (Jan) • Identify DC Cost Efficiency Program initiatives for 2010 (Mar) • DC Consolidation: Business Case and Timeline validated & approved (Q1)	• DC Consolidation: 2 DCs exited (Jun)	• DC Consolidation: Plan revised to align with Compute Strategy (Q3)	• DC Consolidation: 2 DCs exited [total of 10 for 2010] (Dec)	• DC Consolidation: 3 DCs exited across 2011 (Q4)	• DC Consolidation: 2 DCs exited across 2012(Q4)
Distributed Systems & Storage Transformation	• DEEP: Principles and targets agreed (Jan) • DEEP: High-level demand planning for 2010 completed (Feb) • DEEP: Engineering for Virtual Farm v1.0 complete d(Mar)	• DEEP: Virtual Farm v1.0 in production (May) • DEEP: Physical to Virtual Factory established (May) • Long-Term Storage Strategy defined[1] (Q2)	• Initial Cloud Services Strategy defined (Q3) • Sourcing Strategy & Execution kick-off (Jul)	• DEEP: 5-7K physical servers decommissioned (Dec) • Cloud Services Feasibility Study kick-off (Oct)	• DEEP: Additional 4k-6k physical servers decommissioned (Dec) • Cloud Services Feasibility Study and Final Strategy defined (Q4)	• DEEP: Additional 4k-6k physical servers decommissioned (Dec) • Storage Consolidation completed (Q4)
Mainframe & Midrange Systems Transformation	• Batch@UBS, MIPS capacity reduction step1 (M1-3). • ANSA+1, feasibility study done • MISEP+, AS400 Midrange Technical Standards & Risk Assessment Completed • SWEP, Software cost reduction analysis completed	• Batch@UBS, MIPS capacity reduction step2 (M4-8). • MID@HUBS, systems consolidation to Bluestone (M1-M3). • ORG@20XX, MMS Demography planning & Sourcing Model established • MISEP+, AS400 Midrange Risks mitigation plan approved	• Batch@UBS, MIPS capacity reduction step2 (M9-M16). • MID@HUBS, decommissioning ONYX environments (M4), • MID@HUBS, take over systems of Global AM Hartford • ANSA+1, Group Midrange platforms roadmap	• MID@HUBS, consolidation DR environment WM Spain. • ORG@20XX, MMS leveraging wave1 (CoCDB2 & Midrange services) • ANSA+1, Midrange consolidation case1 rolled out • SWEP, Software ISV's reduction phase 1 (SAS) • MISEP+, AS400 mitigation plan phase 1 completed	• Batch@UBS, MIPS capacity reduction step3 (M17-M21) • MID@HUBS, UBS Factors & UCC full integration. • MID@HUBS, consolidation region EMEA environments. • ORG@20XX, MMS leveraging wave2. • ANSA+1, Midrange consolidation case2&3 rolled out • SWEP, Software ISV's reduction phase 2 (IMS). • PLC, systems & Storage life cycle (in relation with MF Bluestone move).	• Batch@UBS, IBM contract re-negotiated • ORG@20XX, MMS leveraging wave3. • MID@HUBS, decommissioning Power 6 environments.

[1]The "Long-term DSS Infrastructure Consolidation" strategy is driven by the DCS Transformation Program in the WMA IT 3 Year Strategy

Draft - 2010-11-08

Working Copy

Transformation Roadmap – Program Milestones

Program	2010				2011	2012
	Q1	Q2	Q3	Q4		
Network Services Transformation	• MNS: Contract negotiation completed with a Go/No Go decision (Mar) • Global Telecom Implementation schedule completed (Mar)	• Global Telecom contract signed (Apr)[1] • MNS contract signed [1] (Apr) • Global Telecom Transformation & Implementation kick-off (Q2) • Branch office Transformation kick-off (Q2)	• MNS: Transition of operations to MSP July)			• MNS Transformation completed (Q1) • Global Telecom Transformation & Implementation completed (Q2) • Branch Office Transformation completed (Q2)
End User Services Transformation	• DTP Rollout Approach finalized (Feb) • DTP Initial App Remediation & Timeline Checkpoint (Feb)	• DTP Bronze Build Engineering Completed (Apr) • DTP Final App Remediation Start Checkpoint (May) • EUS Strategy complete d(May) • OSS model defined (Q2) • Unified Communications Pilot completed (June)		• DTP Silver Build Engineering & Infra completed (Oct) • DTP Client Silver Pilot begins (Nov) • Desktop Virtualization Strategy completed (Dec)	• DTP Deployment Sourcing confirmed (Q1) • DTP Application Remediation completed (Q1) • Unified Communications Deployment completed (Q1) • DTP Go/No-Go to begin production rollout (Apr) • DTP Production Rollout completed (Dec)	
Enterprise Service Management Transformation	• Assessment of current ESM capabilities completed (Feb) • ESM Toolset rationalization strategy complete d(Mar)	• Service Request Mgmt POC for DEEP (Mar) • Deployment & integration of strategic service suite initiated (Q2)	• Process reengineering for POC and early adopters initiated (Q3)	• L0/1 Utility deployment completed (Q4 • Deployment & integration of strategic service suite completed (Q4) • Process reengineering for POC and early adopters completed (Q4)	• Deploy strategic ESM workflows and processes – migration from current processes and tools complete d(Q4) • Decommission legacy tools and processes completed (Q4)	
WMA IT DNA & Cross-Platform Transformation	• Transformation Data Model design complete d(Q1) • Transformation Management function (ATC) in place (Q1) • Production Assurance Op Model validated and approved by CTO (Mar) • Sourcing governance structures in place (Mar)	• Sourcing Strategy and Framework completed (Q2) • WMA IT Op Model in place (Q2) • WMA IT Compute Strategy completed (Q2)	• Strategic Sourcing Diagnostic complete d(Q3) • Identification of Sourcing Opportunities completed (Q3) • WMA IT Architecture standards and governance processes in place (Q3)			

UBS

Note: 1) Contingent upon the WMA IT management approval of the proposed outsourcing plan

Draft - 2010-11-08

Working Copy

Transformation Roadmap – Program Dependencies

Program	2010				2011	2012
	Q1	Q2	Q3	Q4		
Data Center Services Transformation	Application owners required for application testing DC Consolidation strategy requires coordination with Network Architecture strategy DC Consolidation strategy requires GTEC approval and funding	DSS involvement required for physical server migrations	Compute Strategy may impact DC Consolidation strategy			
Distributed Systems & Storage Transformation	2010 demand planning requires completion of DC Consolidation plan Application owners validate and approve virtualization plan ISL input required for 2010 demand planning	Application owners required for application testing Sourcing Execution depends upon completion of WMA IT Sourcing Strategy and Framework ESM tools strategy will provide additional automation for service transition process Long-Term Storage Strategy depends on completion of DC Consolidation plan	Compute Strategy completion may impact DEEP and Cloud Services strategies Sourcing Strategy kick-off depends upon Strategic Sourcing Diagnostic	DEEP's decommissioning timeline for 2010 requires coordination with DC Consolidation plan	DEEP's decommissioning timeline for 2011 requires coordination with DC Consolidation plan	DEEP's decommissioning timeline for 2012 and completion of Long-Term Storage Consolidation requires coordination with DC Consolidation plan
Mainframe & Midrange Systems Transformation	DC Consolidation timeline impacts the scope/timeline for MMS initiatives across 2010 Active MIPS reduction and plans require Application Owner approval	Global AM input required for alignment activities Sourcing model requires WMA IT Sourcing Strategy & Framework and Op Model Midrange consolidation requires Application Owner (CIOs) approval/support	Compute Strategy may impact overall MIPS Reduction strategy		DC Consolidation timeline impacts the scope/timeline for MMS initiatives across 2011 Active MIPS reduction and plans require Application Owner approval Midrange consolidation requires Application Owner approval/support	

UBS

WMA IT Planning	DCS	DSS	MMS	Network	EUS	ESM	WMA IT DNA	Non-WMA IT

Draft - 2010-11-08

Working Copy

Transformation Roadmap – Program Dependencies

Program	2010				2011	2012
	Q1	Q2	Q3	Q4		
Network Services Transformation	MNS & GTRFP scope require coordination with DC Consolidation & DEEP plans	Vendor toolset integration with existing ESM toolset				
End User Services Transformation	End User Support Restructuring requires alignment with L0/1 Utility deployment LOB engagement in defining Unified Communication Strategy	LOB Engagement in end-user build testing & application remediation required WMA IT application owner engagement required for application remediation DTP Deployment requires deployment of DSS server and storage resources Sourcing Execution depends upon completion of WMA IT Sourcing Strategy and Framework		ESM toolset deployment (SW management & provisioning) required by launch of Silver Build Pilot Deployment of DEEP Virtual Farms required for Desktop Virtualization	DTP rollout requires USC resources to be fully trained on and able to support DTP platform	
Enterprise Service Management Transformation	Production Assurance Op Model impacts ESM Strategy (Mar)	L0/1 Utility sourcing strategy depends upon completion of WMA IT Sourcing Strategy and Framework				
WMA IT DNA & Cross-Platform Transformation	CTO validation of Production Assurance function (Mar) WMA IT governance structures in place (Mar) GTEC governance structures in place (Mar)	GTEC approval of Sourcing Framework and Strategy	GTEC approval of strategic Sourcing Plan CTO approval of architecture standards			

UBS

WMA IT Planning | DCS | DSS | MMS | Network | EUS | ESM | WMA IT DNA | Non-WMA IT